

could have saved \$. But I remembered to try that 3 minutes after the market closed and my broker needs a 20-minute head start for those MOC trades.”

About 2.5 months later, the stock was 43% lower, so I dodged a bullet.

Delphi Financial Group

Delphi Financial Group (DFG) seems to be typical of my rectangle trades. In this case, I bought after a throwback to a long rectangle top that formed from September 2006 to May 2007. Price slid back below the top of the rectangle, so I sold for a 5% loss. The stock continued going down and bottomed 82% below my sale price.

- Lesson: Sell quickly before a loss becomes larger.

American Power Conversion Corp

American Power Conversion Corp. (APCC) is an interesting trade after a good earnings report. In 2005, the stock broke out upward from a rectangle top after the company announced quarterly earnings that were better than expected. Price spiked from a close of 20.71 to a high of 25 but closed at almost 23. I waited for price to return to earth over the next 10 days or so.

Here's what I wrote in my notebook: “Buy reason: Rectangle throwback completed on good earnings. I expect the next quarter to report good earnings, too, sending price higher. The rectangle will support the stock, so risk is low despite a possible dropping market.”

I trailed my stop higher as price climbed, and eventually the stock hit my stop and took me out of the trade for a gain of 11%.

- Lesson: Price often retraces for a week to 10 days before bottoming after a good earnings announcement. The retrace (after it completes) represents a good buying opportunity, especially if you expect another good quarter to follow.